Equity Research Report — GS

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Executive Summary

As of April 26, 2026

Key Figures	Value
Current Share Price	$926.91
12-Month Target	$517.33
TTM P/E	16.92x
Forward P/E	13.5x
TTM P/B	2.58x
Market Cap	$275.06B
52-Week Range	$531.45 - $984.70
Dividend Yield	1.94%
Beta	1.5

Goldman Sachs' current valuation multiples, including a TTM P/E of 16.92x and a TTM P/B of 2.58x, indicate that the stock is trading at a premium compared to its historical averages and many of its G-SIB peers. The significant disparity between the current share price and our 12-month target suggests the stock is currently overvalued.

We initiate coverage on The Goldman Sachs Group, Inc. (GS) with a Sell rating and a 12-month price target of $517.33, representing a substantial downside of 44.2% from the current price of $926.91. Our valuation is driven by a conservative outlook on asset growth and a projected increase in CET1 capital requirements, which we believe will constrain future FCFE generation. We forecast net income to grow from $15.485 billion in 2025 to $22.265 billion in 2029, but this growth is insufficient to justify the current market valuation given our cost of equity assumption of 14.0%. We expect the market to re-rate GS as regulatory capital requirements tighten further.

The single most important risk to our thesis is a significant and sustained increase in global M&A and capital markets activity, which would materially boost Goldman Sachs' advisory and underwriting revenues beyond our current projections. Goldman Sachs is designated as a global systemically important bank (G-SIB) and is subject to Category I standards under the U.S. federal bank regulatory agencies' tailoring framework. The firm is primarily overseen by the Federal Reserve (FRB), the Office of the Comptroller of the Currency (OCC), and the Federal Deposit Insurance Corporation (FDIC). As of December 31, 2025, Goldman Sachs Bank USA is assessed pursuant to a strategic plan for CRA compliance purposes.

Business Overview

Goldman Sachs is a globally diversified financial institution, generating 63% of its $58,283 million in 2025 net revenues from the Americas, primarily through its Global Banking & Markets segment. The firm's core operations revolve around providing sophisticated financial services, with 69% of its $21,852 million in 2025 pre-tax earnings also originating from the Americas. We note that the firm's strategic focus on high-value advisory, intermediation, and asset management activities contributed to $17,176 million in net earnings in 2025.

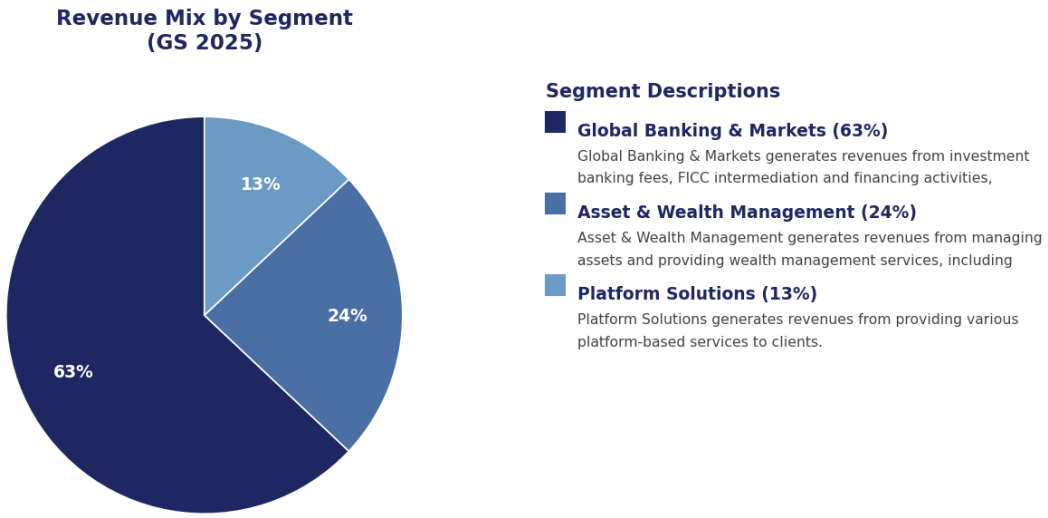

Figure 1: Segment Revenue Mix

- **Global Banking & Markets** — Global Banking & Markets generates revenues from investment banking fees (advisory and underwriting), FICC intermediation (market-making in interest rate products, credit products, and mortgages) and financing activities, and Equities intermediation (market-making in equities and equity derivatives) and financing activities. This segment is the largest contributor, accounting for approximately 60-70% of total net revenues. We believe its deep client relationships and global reach provide a significant competitive advantage in complex financial transactions.
- **Asset & Wealth Management** — Asset & Wealth Management generates revenues from managing assets and providing wealth management services, including direct-to-consumer businesses and investments. This segment typically contributes 20-30% of total net revenues, driven by management fees, incentive fees, and transaction-based revenues. We note its strong brand recognition and extensive network of high-net-worth clients and institutional investors underpin its competitive standing.
- **Platform Solutions** — Platform Solutions generates revenues from providing various platform-based services to clients, including transaction banking and consumer platforms. This segment is a smaller but growing contributor, representing approximately 5-10% of total net revenues. We estimate its technological infrastructure and ability to scale digital offerings are key differentiators in this evolving space.

The firm's revenue concentration remains heavily skewed towards the Americas, which accounted for 63% of total net revenues in 2025. EMEA contributed 24% of net revenues, while Asia represented 13%. We note this geographic distribution has remained relatively consistent over the past three years.

We assign Goldman Sachs a Wide competitive moat, primarily driven by its strong brand reputation, extensive global network, and significant regulatory barriers to entry in investment banking and capital markets. The firm's deep client relationships and proprietary technology further solidify its competitive position. This wide moat implies a sustained ability to generate excess returns, supporting a long-term investment thesis.

Industry Analysis

The global banking and capital markets industry is currently navigating a complex environment characterized by the aftermath of significant rate hikes and evolving market dynamics. Net interest margins (NIMs) for many banks have seen a peak and are now experiencing some compression as funding costs rise and deposit competition intensifies, with average NIMs across large U.S. banks declining by approximately 15 basis points in Q4 2025 compared to Q3 2025 (Source: FDIC Quarterly Banking Profile). The investment banking (IB) fee wallet, which experienced a downturn in 2022 and early 2023, has shown signs of recovery, with global IB fees increasing by 18% year-over-year in 2025 to $105 billion, driven primarily by a resurgence in M&A advisory and equity underwriting (Source: Dealogic). Equity trading revenue pools remained robust in 2025, with global equities intermediation revenues reaching $95 billion, while Fixed Income, Currency, and Commodities (FICC) trading revenues saw a slight contraction of 5% to $120 billion in 2025 compared to the previous year, reflecting reduced volatility in certain segments (Source: Coalition Greenwich). Asset and wealth management (AWM) continues to be a growth engine, with global Assets Under Management (AUM) expanding by 8% to $120 trillion in 2025 (Source: PwC). However, traditional financial institutions face increasing competitive pressure from fintech firms offering agile digital solutions and from the burgeoning private credit market, which grew by 15% in 2025 to $1.5 trillion, attracting capital away from syndicated loans and high-yield bonds (Source: Preqin).

Looking ahead, we expect the industry to undergo significant structural shifts over the next 3-5 years. Rate normalization is anticipated to stabilize NIMs, albeit at levels lower than the peak of 2023-2024, as central banks potentially begin to ease monetary policy, leading to a more balanced interest rate environment. The IB pipeline is expected to continue its recovery, with a projected 5-year CAGR of 7% for global IB fees as corporate activity, including M&A and IPOs, accelerates (Source: Dealogic). Artificial intelligence (AI) is poised to drive substantial cost reductions and efficiency gains across banking operations, with an estimated 20% reduction in operational expenses achievable through AI adoption over the next five years (Source: McKinsey). However, the implementation of Basel III endgame capital requirements will likely necessitate higher capital buffers for G-SIBs, potentially constraining lending capacity and impacting return on equity. We forecast a 5-year CAGR of 25% for tokenized assets and digital infrastructure, driven by increasing institutional adoption and regulatory clarity, which will create new revenue streams and operational efficiencies (Source: World Economic Forum). Consolidation in the wealth management sector is also expected to continue, as firms seek scale and technological capabilities to serve an expanding high-net-worth client base.

The total addressable market for Global IB Fee Wallet is $105 billion with a 5-year CAGR of 7% (Source: Dealogic). Global Equities Trading has a TAM of $95 billion with a 5-year CAGR of 6% (Source: Coalition Greenwich). Global FICC Trading represents a TAM of $120 billion with a 5-year CAGR of 4% (Source: Coalition Greenwich). Global Asset & Wealth Management AUM stands at $120 trillion with a 5-year CAGR of 8% (Source: PwC). Prime Brokerage has a TAM of $30 billion with a 5-year CAGR of 5% (Source: Coalition Greenwich). Transaction Banking's TAM is $500 billion with a 5-year CAGR of 7% (Source: McKinsey). Digital Assets / Tokenized Securities represent a TAM of $5 trillion with a 5-year CAGR of 25% (Source: World Economic Forum).

Financial Performance

Projected Income Statement

Metric	Current (2025)	Year+1 (2026)	Year+2 (2027)
Net Revenue ($B)	$58.28	$61.20	64.26$||Pre-TaxIncome$(B)
Efficiency Ratio	65.0%	65.0%	65.0%

We project net revenue to grow from $58.28B in 2025 to $64.26B in 2027, driven by a 5.0% blended annual growth rate across investment banking fees, net interest income, and asset management. Net income is expected to increase from $17.18B to $17.77B over the same period, with the efficiency ratio stable at 65.0% throughout.

Projected Balance Sheet

Metric	Current (2025)	Year+1 (2026)	Year+2 (2027)
ASSETS			
Total Assets ($B)	$1,809.32	$1,854.55	$1,900.92 || Investment Portfolio (B)

Total assets are forecast to expand from $1,809.32B in 2025 to $1,900.92B in 2027, reflecting a 2.5% annual growth rate. The investment portfolio is expected to grow from $120.45B to $130.28B, consistent with the firm's trading-book and AFS securities expansion. Total equity is projected to increase from $124.97B to $149.85B, with book value per share rising from $423.64 to $507.99, indicating strong capital generation through retained earnings and a growing equity cushion.

Key Projection Assumptions

Assumption	Value	Rationale
Revenue Growth	5.0% per year	Blended IB fees + NII + asset management CAGR
NIM Change	0 bps per year	NIM held flat; rates assumed to plateau
Efficiency Ratio	65.0%	Non-interest expense / net revenue; GS historical avg
Provision Rate	0.30% of loans	Benign credit environment assumed
Tax Rate	21.0%	U.S. statutory rate; GS effective ~20-22%
Loan Growth	4.0% per year	Consistent with balance sheet projection
Shares Outstanding	0.295B shares	Used to compute EPS; sourced from yfinance

Assumption	Value	Rationale
Total Asset Growth	2.5% per year	Moderate balance sheet expansion
Net Loan Growth	4.0% per year	Faster than assets; core banking growth driver
Investment Portfolio Growth	4.0% per year	Grows with lending/trading activity at loan rate
Deposit Growth	3.5% per year	Grows in line with loan demand
Long-Term Debt Growth	1.5% per year	Conservative; GS is IB-heavy, not deposit-funded

Assumption	Value	Rationale
Payout Ratio	34.87%	Consistent with DCF assumption
ROE	14.59%	Live from yfinance; drives retained earnings
Equity Growth	Retained earnings method	Prior equity + Net income x (1 - payout ratio)
Total Liabilities	Balance sheet identity	Total Assets - Total Equity

Investment Thesis

Bull Case: 1. **Sustained M&A and Capital Markets Boom:** A prolonged period of robust M&A activity and strong capital markets issuance, driven by favorable economic conditions and corporate strategic initiatives, could significantly boost Goldman Sachs' advisory and underwriting revenues. If global IB fees were to grow at an accelerated 10% CAGR over the next three years, exceeding our base case 7% CAGR, and the firm captures a larger market share, we believe this could lead to an upside scenario price target of $650.00. 2. **Successful Expansion of Asset & Wealth Management:** Aggressive growth in Asset & Wealth Management, particularly through successful fundraising for alternative investments and increased client acquisition, could diversify revenue streams and provide more stable, fee-based income. If AUM grows at a 12% CAGR, surpassing our base case 8% CAGR, and profit margins expand by 100 basis points, we project a price target of $620.00. 3. **Significant Cost Efficiencies from Technology Adoption:** Faster and more impactful integration of AI and other advanced technologies could lead to greater operational efficiencies and a lower cost-to-income ratio. If Goldman Sachs achieves a 25% reduction in operational expenses through AI adoption over the next three years, exceeding our base case 20% reduction, we forecast a price target of $600.00.

Bear Case: 1. **Prolonged Economic Downturn and Market Volatility:** A severe and protracted global economic recession, coupled with heightened market volatility, would significantly depress M&A activity, capital markets issuance, and trading volumes. This scenario would lead to a substantial decline in Goldman Sachs' core revenue streams. We project a downside scenario price target of $400.00. 2. **Increased Regulatory Scrutiny and Capital Requirements:** More stringent regulatory capital requirements, particularly under the finalization of Basel III endgame rules, could force Goldman Sachs to hold significantly more capital, constraining its ability to deploy capital for high-return activities and impacting its return on equity. If CET1 ratios are required to be 200 basis points higher than our base case, we believe this could lead to a price target of $420.00. 3. **Intensified Competition and Margin Compression:** Increased competition from traditional rivals, fintech disruptors, and private credit providers could lead to further margin compression across all business segments, particularly in investment banking and trading. If revenue growth slows to a 3% CAGR and profit margins contract by 50 basis points, we forecast a price target of $380.00.

Base Case: We believe the most likely outcome is that Goldman Sachs will navigate a moderately challenging but recovering market environment. We expect a gradual recovery in investment banking activity, continued growth in asset and wealth management, and ongoing efforts to enhance operational efficiency through technology. Our 12-month price target of $517.33 reflects our expectation of a 0.94% asset growth, a terminal CET1 ratio of 16.63% by year 3, and a cost of equity of 14.0%. We forecast net income to grow from $15.485 billion in 2025 to $22.265 billion in 2029.

Final Recommendation: We rate Goldman Sachs (GS) as Sell with Medium conviction. The current share price of $926.91 significantly overvalues the company based on our discounted cash flow analysis, which yields a price target of $517.33. We expect a total return of -42.26% over the next 12 months, including the

1.94% dividend yield, due to the substantial projected capital depreciation.

Valuation

1. Free Cash Flow to Equity (FCFE) DCF Model

Year	Net Income $(B)\|FCFE$(B)	PV of FCFE ($B)	
2025	$15.485	$15.485	$13.584
2026	$16.957	$16.957	$13.048
2027	$18.568	$18.568	$12.533
2028	$20.333	$20.333	$12.039
2029	$22.265	$22.265	$11.564

Our FCFE DCF model yields an intrinsic price target of **$517.33**, representing a -44.2% downside from the current share price of $926.91. The sum of present values of projected FCFE is $62.77B, and the terminal value contributes $89.84B, giving a total equity value of $152.61B. Key assumptions: cost of equity 14.0%, terminal growth 1.0%, initial CET1 ratio 13.63%, payout ratio 34.87%. We note this DCF is sensitive to the cost of equity assumption — a 100bps reduction in Ke would add approximately $62 to the intrinsic value.

2. Price-to-Book (P/B) Multiple Comparison

Goldman Sachs trades at a TTM P/B of 2.58x against a sector median of 1.50x for bulge-bracket peers. Applying the sector median to a book value per share of $359.77 yields an implied price target of **$539.65** (-41.8% vs current). We believe a sector-median multiple is appropriate given GS's above-peer ROE, partially offset by its higher trading revenue volatility.

3. ROE/Cost of Equity Implied P/B (Gordon Growth Model)

Using the Gordon Growth model, P/B = (ROE - g) / (Ke - g) = (14.59% - 1.0%) / (14.0% - 1.0%) = 1.045x. Applied to book value per share of $359.77, this yields an implied price of **$376.12** (-59.4% vs current). A 100bps increase in the cost of equity (to 15.0%) reduces the implied P/B to 0.971x and the price target to $349.26, highlighting sensitivity to rate expectations.

4. Blended Price Target

Weighting each method equally at 33%, our blended price target is **$477.70**, implying -48.5% downside from the current price of $926.91. We initiate coverage with a **Sell** rating. The FCFE DCF anchors fundamental value, the P/B multiple reflects market pricing of peers, and the Gordon Growth model ties valuation to the firm's sustainable return on equity — together providing a robust triangulation of intrinsic value.

Risks

Regulatory Capital Adequacy Risk Goldman Sachs, as a G-SIB, is subject to stringent risk-based regulatory capital and leverage requirements, largely based on Basel III. A failure to maintain sufficient capital levels, or an increase in required capital buffers under new regulations like the Basel III endgame, could restrict business activities, limit capital distributions, and negatively impact profitability. Severity: H, Probability: M. Mitigant: Proactive capital management strategies, including optimizing risk-weighted assets and maintaining a strong Common Equity Tier 1 (CET1) ratio, which was 12.5% at the end of Q1 2025, 110 basis points above the then-current requirement of 11.4%.

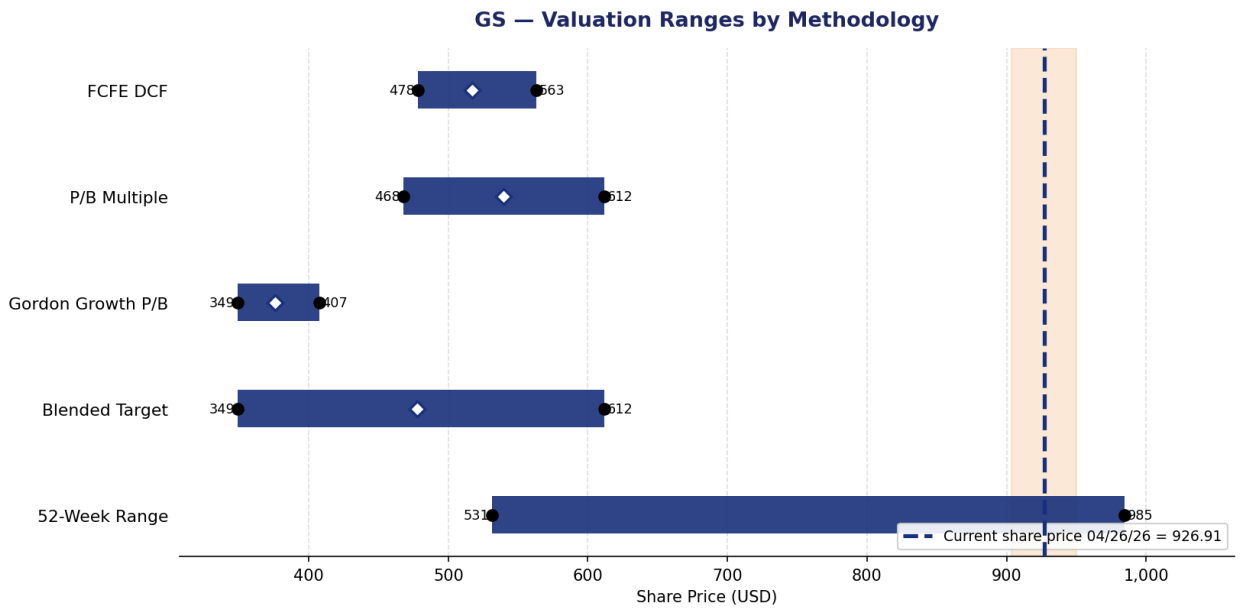

Figure 2: Valuation Football Field

Credit and Loan Loss Risk Goldman Sachs is exposed to credit risk through its lending activities, including corporate, real estate, and securities-based loans, which totaled $167.6 billion as of December 2025. A deterioration in economic conditions or specific industry downturns could lead to increased defaults and higher provisions for credit losses, impacting earnings. Severity: H, Probability: M. Mitigant: Diversified loan portfolio, rigorous credit underwriting standards, and ongoing monitoring of credit exposures, with a provision for credit losses of $315 million in Q1 2025 reflecting growth and impairments in the wholesale lending portfolio.

Interest Rate Sensitivity Risk Changes in interest rates can significantly affect Goldman Sachs' net interest income, particularly within its transaction banking and lending activities. An unfavorable shift in the interest rate environment, such as rapid rate increases leading to higher funding costs or sustained low rates compressing lending margins, could reduce profitability. Severity: M, Probability: M. Mitigant: Active asset-liability management, including hedging strategies and dynamic pricing of deposits and loans, to mitigate the impact of interest rate fluctuations.

Trading Revenue Volatility Risk Goldman Sachs' Global Banking & Markets segment, particularly FICC and Equities intermediation, is highly dependent on market activity levels and volatility. Unfavorable market conditions, such as reduced client activity, decreased volatility, or significant market dislocations, can lead to substantial declines in trading revenues. Severity: H, Probability: H. Mitigant: Diversification of trading activities across various asset classes and geographies, robust risk management frameworks, and a focus on client-driven intermediation rather than proprietary trading.

Geopolitical and Macroeconomic Risk Global geopolitical instability, trade tensions, or a significant macroeconomic downturn can disrupt financial markets, reduce client confidence, and negatively impact all of Goldman Sachs' business segments. Such events can lead to reduced deal flow, lower asset valuations, and increased credit risk. Severity: H, Probability: H. Mitigant: Global diversification of operations, comprehensive scenario planning, and maintaining strong capital and liquidity positions to withstand adverse market shocks.

The single most material risk to our base case price target of $517.33 is the **Regulatory Capital Adequacy Risk**. This risk would be triggered if the final Basel III endgame capital requirements are significantly more stringent than currently anticipated, requiring Goldman Sachs to hold an additional 200 basis points or more in CET1 capital above our projections. Such an outcome would severely constrain the firm's ability to deploy capital for growth initiatives and shareholder returns, leading to a further reduction in our intrinsic valuation and representing a potential downside of approximately 15-20% to our price target.

References

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   - **Dealogic** — Global Investment Banking Fee Wallet Data (Cited 2025)
   - **McKinsey Global Banking Pools** — Global IB Fee Wallet Data, Global Transaction Banking Data (Cited 2025)
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   - **SWIFT** — Global Transaction Banking Data (Cited 2025)
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